

Article | 12 August 2026

UNITED STATES

Cooling US inflation points to the Fed holding steady

Another benign inflation report following hot on the heels of a poor July jobs report has seen markets increasingly doubt the resolve of Fed hawks to deliver rate hikes this year. We see four key reasons for the disinflation trends to continue and expect the Fed to hold rates steady for a prolonged period



Low July inflation at the core and headline levels indicate the Federal Reserve may keep rates on hold for a prolonged period

2.5% Annual rate of core inflation

Inflation continues to cool

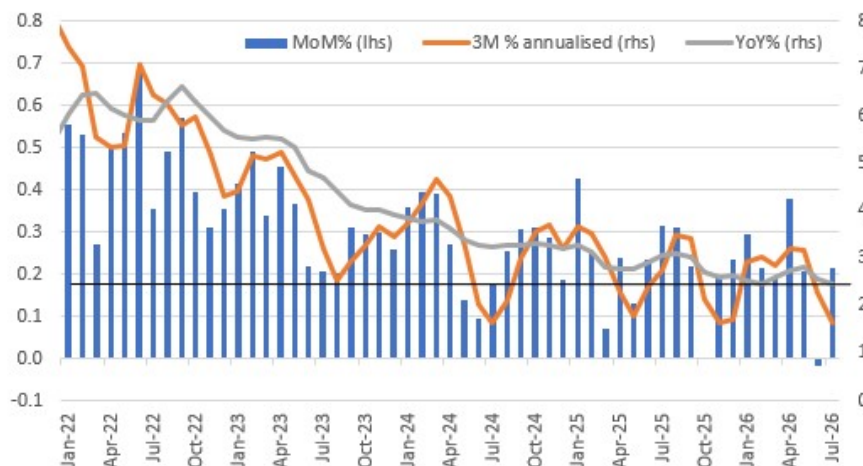
US consumer price inflation has come in as expected in July. After a remarkably benign June report, headline prices rose 0.1% month-on-month in July while core CPI (ex-food and energy) rose 0.2% MoM. This brings the year-on-year rate of inflation down to 3.4% from 3.5% for

headline while core inflation is now running at 2.5% versus 2.6% previously. In terms of 3M annualised core inflation, we are now down to just 1.6%, which, after the poor jobs report last Friday, should leave the Fed hawks less confident on the need for a rate hike, but we do have another job and inflation print plus the annual Jackson Hole symposium before the next FOMC meeting on 16 September. This will limit the scope for significant market reaction today.

In terms of the details, gasoline prices fell 2.9% MoM while shelter was subdued at just 0.1% MoM with food (+0.1%), apparel (+0.1%) and new vehicles (+0.1%) and other goods & services (+0.1%) all very well-behaved. Used cars and trucks (+0.4%) and medical care (+0.4%) and education (+0.6%) were the main areas of elevated price pressures, but all experienced falls in June and the underlying story looks OK. The main issue remains airline fares (+2.2% MoM/ 25.5% YoY), which mainly reflects higher jet fuel. That can quickly correct lower on a deal in the Middle East. Overall, nothing here to change our view that the Fed is set for a prolonged pause well into 2027.

The chart below shows core CPI under different metrics. The black line represents 0.17% MoM, which is what we need the blue bars to average to bring the YoY rate to 2% over time.

Core inflation metrics



Source: Macrobond, ING

Four reasons for inflation to slow into 2027

Gasoline can continue to contribute to lower headline inflation – remember that the current oil price of around \$83/bbbl is historically consistent with US retail gasoline prices of \$3.80/gallon – below the current AAA measured average US price of \$4 given refining margins have widened a touch. As such, if we get a deal to reopen the Strait of Hormuz and flow resumes, we should see margins compress, which will deliver lower gasoline costs.

Secondly, the heaviest weighted component in CPI is shelter, at 35% of the basket of goods

and services, which is currently running at 3.2% year-on-year. Affordability is stretched by high prices and elevated mortgage rates with the current number of housing transactions on a par with the 2008-12 post-GFC environment. Consequently, home prices are barely rising 1% and rents are now falling outright in a growing number of states, according to data from Zillow and Realtor.com. We expect this dominant component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Private wage growth, according to the Employment Cost index, is rising just 3.1% YoY, the same as average hourly earnings. That is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. Federal budget data show the International Emergency Economic Powers Act (IEEPA) 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May, the new tariff system revenues were fully offset by the initial repayments of the IEEPA tariffs. June data showed the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other tariffs, and we expect the July numbers, to be released later today, to show an even bigger net refund. This boost to corporate cash flow should mitigate cost pressures elsewhere and therefore maintain the disinflationary trend.

'Chipflation' fears are overblown

The rising cost of semi-conductors, attributed to the surge in demand from data centre construction, has led to fears of 'chipflation' with anticipated price hikes for laptops, mobile phones and games consoles featuring heavily in the media. But we should remember that computer and communication have a very small weight within the basket – just 0.7pp versus 35% for housing. They also use hedonic pricing, so quality improvements come into the calculation. Hence, why within CPI smart phones are currently falling 10.9%YoY, yet the base level for most phones has not changed – camera improvements, better quality battery life, more powerful processors mean that you get more for your money. For the purpose of the inflation calculation, it results in a price fall.

Prolonged pause from the Fed

We recognise that the Fed has missed its inflation target for the past five years. Nonetheless, progress does appear to be being made and consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike.

Meanwhile, market inflation expectations are benign, with 10Y break-even inflation rates in line with their 25-year average. The market is still pricing a rate hike from the Fed, but we see the more likely course of action is for the Fed to hold rates steady for a prolonged period, well into 2027.

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Stablecoins 101: Uncertain growth but the stakes are high

Stablecoins saw significant growth in 2025, drawing attention from issuers and regulators alike. Still, their long-term prospects remain uncertain. In the first article of our new series, we explore what stablecoins are, what could drive adoption, and why their future matters



Despite a sharp expansion, stablecoins now account for only about 7% of the broader crypto market

Executive summary

Stablecoins have seen significant growth over the past few years, reaching nearly US\$300bn in market capitalisation at the end of 2025. This rapid expansion has come with heightened attention from both regulators and potential issuers. However, the future of the crypto asset remains uncertain as further growth depends on whether it can develop beyond the crypto-landscape and expand into the broader payment world.

In our view, part of the path to becoming a broadly adopted instrument depends on the presence of a regulatory framework and interoperability with existing payment systems. However, estimating the future growth of stablecoins is difficult, as it requires predicting their relative attractiveness compared with alternative payment systems such as central bank digital currencies and tokenised deposits in a rapidly evolving

market.

While the jury is still out on how widely stablecoins could be adopted, it is important to consider a scenario in which uptake becomes significant, as this could have serious implications for financial stability, the banking sector, emerging markets, and monetary policy.

Despite the growing attention, many questions remain about what stablecoins are, how they work, and what role they could ultimately play in the financial system. In this piece, we explain the fundamentals of stablecoins, review recent market and regulatory developments, and explore the factors that could shape their future adoption. While the market is evolving quickly, their long-term prospects remain highly uncertain. Their eventual role in payments and savings will depend not only on regulation but also on whether they can compete with existing and emerging forms of digital money. In future publications, we will examine the implications of broader stablecoin adoption in more detail.

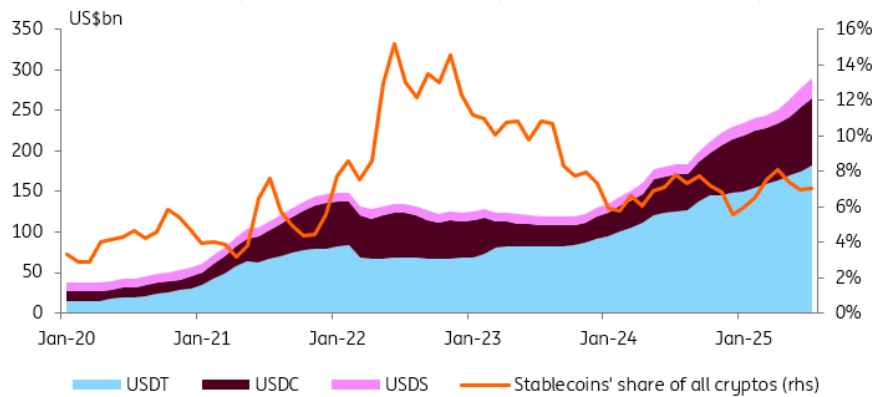
What are stablecoins?

Stablecoins are crypto assets issued by private institutions that promise a stable nominal value in a given currency, commodity or pool of assets. They are not issued or backed by a government or central authority but rather by a private institution and secured by segregated reserves. The crypto asset is issued on a Distributed Ledger Technology (DLT) (i.e. a blockchain) with three existing types of pegging mechanisms:

1. **Fiat-collateralised** stablecoins: backed 1:1 by reserves of cash or liquid assets. These are the most common and utilised type of stablecoin, currently representing over 90% of all stablecoins. We will focus on these in this piece.
2. **Crypto-collateralised** stablecoins: backed by over-collateralised crypto assets. The issuance of these stablecoins tends to be restricted by regulations such as the EU's Markets in Crypto-Assets Regulation (MiCAR).
3. **Algorithmic** stablecoins: not backed by real assets, but the peg to the chosen currency is maintained by a dynamic adjustment of the token's supply using algorithms or "smart contracts". Following the crash of the Terra project in 2022, algorithmic stablecoins now represent only a fraction of all stablecoins.

The total market capitalisation of stablecoins has surpassed US\$300bn globally, 99% of which is USD-pegged tokens. While still dwarfed by bank deposits, the rapid growth of the sector over the past five years (up by \$250bn) has drawn considerable attention. Despite the sharp expansion, though, stablecoins now account for only about 7% of the broader crypto market, a decline from their 2022 peak, as the market capitalisation of other cryptocurrencies has grown even faster.

Selected stablecoins' market capitalisation over time & share of all cryptocurrencies

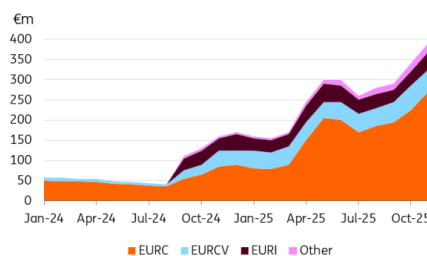


Source: ING Research, IMF / USDT = Tether, USDC = Circle, USDS = Sky Protocol

Euro-pegged stablecoins still only represent a fraction of all stablecoins in use, but their market capitalisation grew from €50m in early 2024 to nearly €400m at the end of 2025. Euro stablecoins remain in their infancy, accounting for only about 0.3% of the global stablecoin market despite recent progress.

Euro-pegged stablecoins remain at a nascent stage

Euro-pegged stablecoins' market capitalisation over time



Market capitalisation of stablecoins across currencies



Source: ING Research, ECB / EURC = Euro Circle, EURCV = Coinvertible, EURI = Eurite

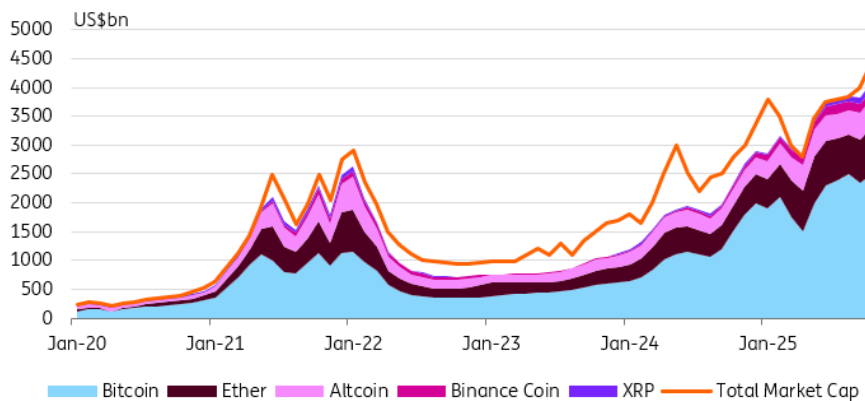
Available data shows that the use of stablecoins remains limited in the larger frame of global payments. Yet the sector's very rapid development over the past years suggests that could change. The new digital currency is forecast to grow exponentially, reaching anywhere between \$900bn and \$4.2tr by 2030. The wide variation in projections underscores just how hard it is to forecast the trajectory of stablecoins over the coming years. Indeed, **stablecoins' growth will depend on several factors: the regulation in place, interoperability with existing payment systems and, importantly, their use cases and relative attractiveness versus other payment systems (new or existing).** The next section delves into other technologies that could influence the growth (or lack thereof) of stablecoins.

How do stablecoins differ from other digital & crypto currencies?

Unbacked cryptocurrencies

Stablecoins are a form of crypto asset, but they differ from other cryptocurrencies by holding segregated reserves designed to maintain a one-to-one value with a chosen reference currency. This is not the case for “real” cryptocurrencies that are also issued and transferred using Distributed Ledger Technology (DLT) but not backed by liquid assets. These unbacked cryptocurrencies are, therefore, much more volatile and used mainly for investment and speculative purposes. Taken together, cryptocurrencies’ market capitalisation reached nearly \$4500bn at the end of 2025, about three times the level in early 2024.

Selected cryptocurrencies market capitalisation over time



Source: ING Research, IMF

Beyond stablecoins and unbacked cryptocurrencies, a new wave of digital currencies is gaining traction among both prospective issuers and regulators.

Tokenised assets

Tokenised assets are digital representations of real-world assets on a distributed ledger infrastructure. A wide range of underlying assets can be tokenised, including securities, bank deposits, and real estate.

Tokenisation is increasingly being explored for bank deposits, where the deposit itself is represented, stored, and issued on a DLT. Each token corresponds to a direct claim on a regulated commercial bank and remains on that bank’s balance sheet. Unlike stablecoins, tokenised deposits do not circulate as bearer instruments but are tied to identified account holders.

The usage of tokenised deposits currently remains limited and mostly experimental. However,

tokenised deposits can modernise payment and settlement infrastructures, as well as intragroup liquidity management. They promise faster settlement (near-instant, in fact), 24/7 transactions, programmability, and lower operational frictions (reducing reliance on multiple intermediaries). Tokenised deposits also offer regulatory advantages, as they remain fully within the existing supervisory framework; the underlying assets stay on commercial banks' balance sheets, preserving the same oversight and prudential standards applied to traditional deposits.

Central Bank Digital Currencies

Central Bank Digital Currencies (CBDCs) are digital forms of money that allow users to pay each other using a direct claim on the central bank. In other words, it aims to reinvent central bank money (cash and coins) in a digital form. CBDCs are often compared and opposed to stablecoins, but the main difference is their direct claim to the central bank. They are issued and maintained by the central authority, often but not systematically using DLTs.

CBDCs can be built for retail or wholesale use (for interbank settlements and large-value transfers). Only a few CBDCs are currently in use in the world (Bahamas, Jamaica, Nigeria and China with a large-scale pilot). But over 100 countries have projects to develop their own digital currency. This includes the EU, which is currently developing its own retail CBDC (the digital euro) and aiming for a 2029 launch. Read more on this in our piece [The digital euro is making progress, European banks should pay attention](#).

In addition to the digital euro, the EU is looking at developing a wholesale DLT settlement strategy. The near-term project 'Pontes' will leverage existing T2 infrastructure and provide immediate central bank money settlement. It's expected to be launched in 3Q 2026. The European Central Bank also plans a full DLT-based wholesale CBDC ecosystem under the 'Appia' initiative, with a blueprint expected in 2028.

To summarise the four digital currencies discussed, the table below highlights the key differences across their main attributes.

Currencies comparison table

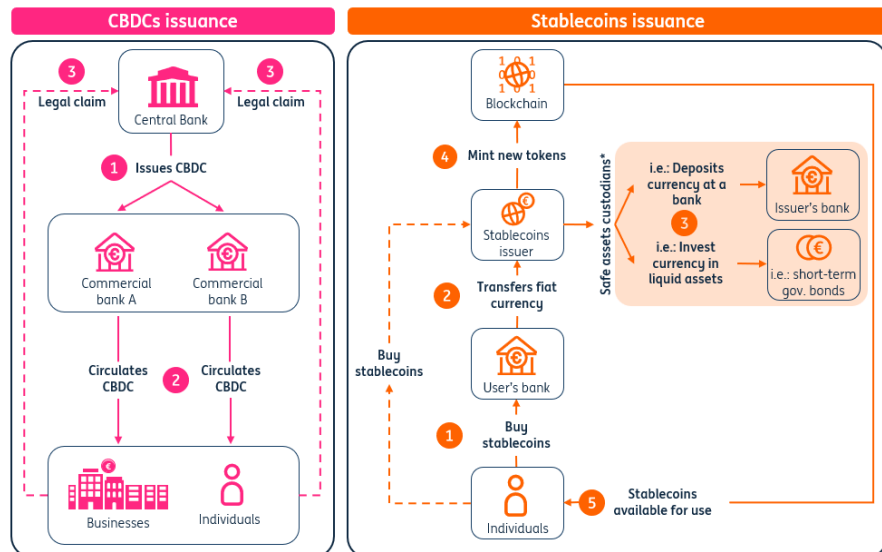
	Stablecoins	CBDCs	'Real' cryptos	Tokenised deposits	Bank deposits	Cash
Digital	✓	✓	✓	✓	✓	✗
Public	✗	✓	✗	✗	✗	✓
Blockchain use	✓	~	✓	✓	✗	✗
Programmable	✓	~	✓	✓	~	✗
Use without intermediaries	✓	~	✓	✗	✗	✓
Large price volatility	Limited by pegging mechanism	✗	✓	✗	✗	✗
Means of payment role	✓	✓	Not in the wider economy	✓	✓	✓
Unit of account role (used for invoicing)	✓	✓	Not in the wider economy	✓	✓	✓
Store of value role	Potential, especially if remuneration allowed	Not if implementation of holding limits	✗	Linked to real-world bank deposits	✓	✓
Regulation	Fragmented	National	Fragmented	✓	✓	✓

~ Possible ✗ No ✓ Yes

Source: ING Research

Both stablecoins and CBDCs aim to create a more digital and efficient means of payment, yet they are often portrayed as competing alternatives. Despite this, the two forms of digital money differ significantly. Their key differences can be illustrated through their issuance models, shown in the flowchart below.

CBDCs versus stablecoins issuance flow



Source: ING Research *examples of safe asset custodians, can vary depending on the regulation in place

The approach to stablecoins and CBDCs varies across the globe, with notable differences between the US and Europe. The transatlantic divide became increasingly apparent in the summer of 2025, when the US moved to support dollar-backed stablecoins while prohibiting the issuance of a CBDC. Europe has taken a different approach, arguing that a CBDC, the digital

euro, would enhance regulatory oversight through issuance and supervision by the European Central Bank.

Given the starkly different political approaches across jurisdictions, stablecoins are likely to evolve as primarily domestic or regional instruments, a dynamic that could shape and, potentially, constrain their overall growth potential.

For stablecoins to become systemically important, their use needs to extend beyond the crypto ecosystem into the broader, global, payments world. However, political positions are already signalling resistance to a global (dollar-pegged) stablecoin, with policymakers instead encouraging the development of multiple domestic stablecoins denominated in local currencies.

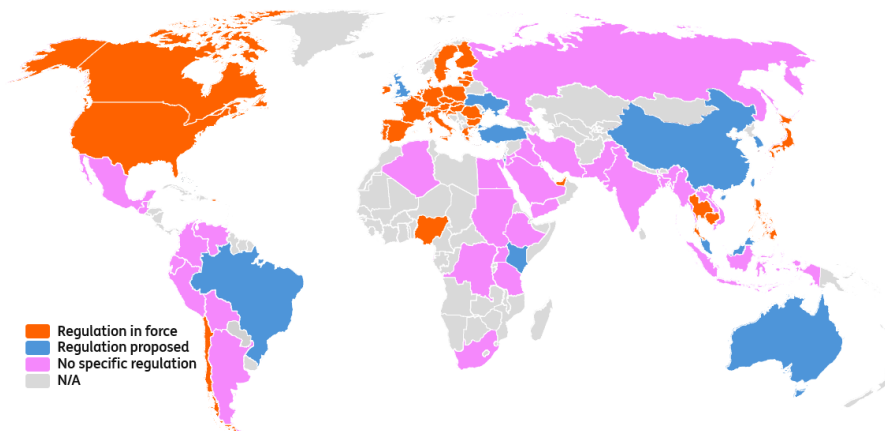
The absence of regulatory harmonisation reinforces this trend. Stablecoin issuers must adapt to each jurisdiction's rules, limiting cross-border scalability and undermining the emergence of a single dominant global stablecoin. The next section outlines the regulatory divergences across the US, EU, and UK.

Large regulatory differences and crucial remuneration uncertainty

Currently, 12 countries have stablecoin regulations in force, and another 10 have proposed texts that are not yet approved. The strongest stance against the issuance of stablecoins comes from China, where they're banned. This partly stems from the government's push for its CBDC; stablecoins are therefore viewed as direct competition.

The main laws are in place in the trading hubs, while other markets still lack specific stablecoin and crypto asset regulations. Despite recent developments at the national or regional level, there's an absence of international harmonisation and coordination on the topic.

Distribution of current stablecoin regulations worldwide



Source: ING Research, Visual capitalist

Because of the lack of international harmonisation on stablecoin oversight, existing regulatory frameworks diverge in several ways. The most important difference concerns the management of the safe assets. Indeed, issuers face various types and levels of restrictions for the segregated reserves. This could influence stablecoins' potential impact on the financial system.

Under US regulation (GENIUS Act), issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued. Permitted reserves include (but are not exclusively) cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators. The absence of specific limits or thresholds on each of these options gives USD-stablecoin issuers a relatively large degree of freedom to allocate their reserves.

This isn't replicated in the European legislation. MiCAR sets stricter requirements for E-Money institute issuers. These institutions (if systemic) are required to hold at least 60% of the safe assets as commercial banks' deposits (30% if non-systemic issuers). They're allowed to hold 40% of their reserves in liquid government bonds (70% if non-systemic issuers).

While the UK is still drafting its final stablecoin regulatory framework, the latest proposal includes restrictions on reserve investments. For systemic issuers, the Bank of England proposes prohibiting the use of commercial bank deposits and requiring that at least 30% of backing assets be held as non-remunerated central bank deposits. The remaining 70% could be invested in short-term government debt. The central bank argues that allowing commercial bank deposits as backing could introduce financial, operational, and contagion risks that could amplify a stress across the sector. Additionally, the UK is the first country to propose a temporary issuance guardrail for systemic issuers, limiting the amount of stablecoins issued to £40bn per issuer for an unspecified temporary period.

While myriad other divergences exist, we also note one convergence between the US, EU and UK regulatory frameworks: the ban on remuneration distribution. All three regimes prohibit stablecoin issuers from paying interest to holders. In the US, where broader crypto market legislation is still under negotiation, this restriction is heavily debated and could ultimately be revised.

Interest payments by stablecoin issuers remain prohibited in most jurisdictions. This restriction is central to the regulatory architecture, as it directly shapes stablecoins' appeal as a store of value and influences both adoption dynamics and its potential footprint in the broader financial system.

The table below summarises the main differences between the three regulatory frameworks. Read more on the various regulatory frameworks in the footnotes.

Summary of the US, EU and UK stablecoins regulatory frameworks

		US ¹ Genius Act	EU MiCAR		UK ² Regulation	
			E-money institute	Credit institution	Non-systemic issuers	Systemic issuers
1.	Access to central bank, lender of last resort	Case-by-case Fed decision	Forbidden	No restrictions		Bank of England considering backstop facility
	Central Bank deposit	Case-by-case Fed decision	Forbidden	Allowed	Allowed	Required i) ≥30% of assets; ii) upremunerated
2.	Asset investment policy					
	Commercial bank deposit	Allowed upper limit to be specified	Required ≥60% of assets (≥30% if non-systemic)	Allowed	Allowed	Forbidden
	Government bonds	Allowed ≤3m maturity	Allowed <40% of assets (<70% if non-systemic)	Allowed	Allowed	Allowed <70% of assets
3.	Stablecoins remuneration	Forbidden for issuer only	Forbidden for issuer and crypto-asset service providers (CASP)	Forbidden for issuer and CASP	Forbidden for issuer	Forbidden for issuer
4.	Issuance guardrail	None	None	None	N/A	Temporary £40bn

Source: ING Research, Fed, European Commission, BoE

1 US has three license levels: for a) bank and b) non-banks at federal level, and c) one at state level for smaller institutions. 2 Proposed UK-regime based on June 2026 proposal in Bank of England consultation

...driving the key uncertainty on stablecoins' uptake

Stablecoins' rapid growth over the past few years, in association with the lack of regulation, has raised concern for central banks across the world. Depending on future growth and use cases, stablecoins could have a significant impact on financial stability. For this to materialise, stablecoin use and adoption would have to go beyond the niche crypto-ecosystem and extend to the payment landscape.

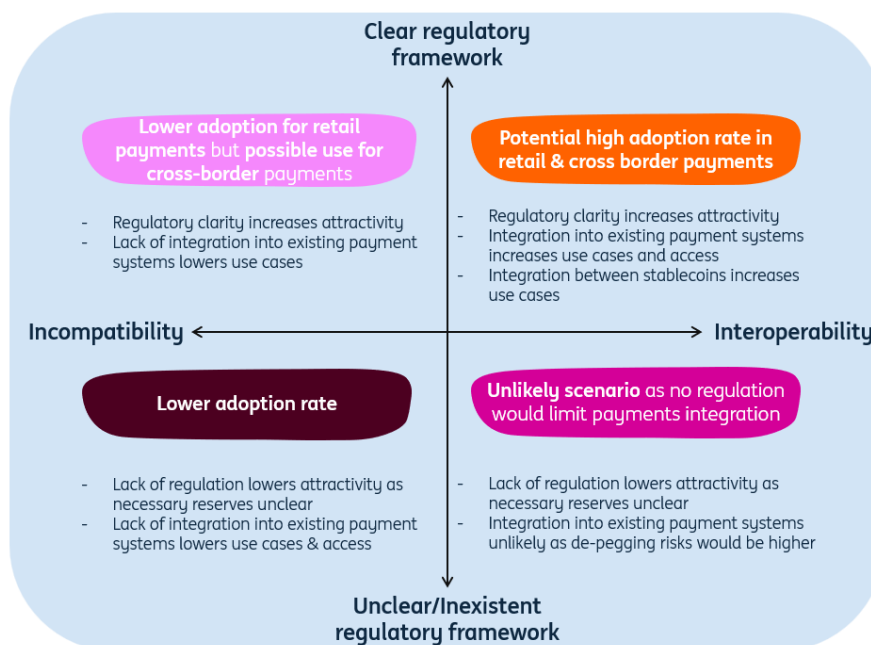
While stablecoins have grown significantly over the years, they are not currently "broadly

adopted". Currently, there's no set threshold determining what would constitute this broad adoption. Furthermore, the development of the crypto asset over the next few years remains unclear. In our view, the adoption uptake would depend on its use for two things:

- Payments
- As a store of value

Starting with the use of stablecoins in payments, there are three main variables. The first two factors are the presence of a regulatory framework and the degree of interoperability between stablecoins and existing payment systems. Mapping these variables produces a quadrant that illustrates four potential development paths for stablecoins.

Potential development of stablecoins in retail payments



Source: ING Research

A scenario with both a clear regulatory framework and full integration of stablecoins into existing payment systems would provide fertile ground for meaningful adoption in payments. However, the extent of such uptake depends on the third variable: the attractiveness of other payment systems (new and existing ones).

The existence and development of alternatives such as tokenised deposits and central bank digital currencies might limit the relative attractiveness of stablecoins. Even though payment systems in Europe remain relatively cheap and fast, that experience is far from universal internationally. For regions where payments are costly and slow, introducing new technologies such as tokenisation into existing systems could allow them to rapidly close the gap with the

advantages stablecoins offer, and potentially emerge as direct competitors to the crypto asset.

There is also a potential political push toward adopting central bank digital currencies, a dynamic relevant not only for jurisdictions with high payment costs but for the EU as well. The digital euro has become a central topic in the 'strategic payment autonomy' discussion and could directly compete with stablecoins for day-to-day payment use.

When it comes to the use of stablecoins as a store of value, a significant uptake would depend on two points:

- Whether direct remuneration by stablecoin issuers is allowed. The current ban on direct remuneration in major jurisdictions does little to support the use of stablecoins as deposit-like instruments, except in countries where real interest rates are negative. However, we can't exclude regulatory changes in coming years, especially as the topic is currently under discussion in the US with the upcoming Clarity Act. Read more on this in our regulatory footnotes below.
- The interest rate level paid on alternative deposit accounts (such as traditional bank deposits), as stablecoins could become more of a competitor to traditional deposit accounts in an environment where interest rates are zero or close to zero (which has been the case in the EU in recent years and is still the case in the US).

Only if, and with the right combination of these factors, could we foresee the adoption of stablecoins growing significantly to become broadly adopted. Yet, at present, it remains difficult to estimate the direction the crypto asset will follow in the years ahead.

Potential implications of stablecoins

Although stablecoins are not yet widely adopted and their future trajectory remains hard to pin down, our forthcoming articles will explore a scenario in which they scale enough to become a meaningful payment system. We see this as a necessary exercise: broad stablecoin adoption could carry significant and far-reaching implications for the financial system – spanning the banking sector, emerging market stability, safe asset demand, monetary policy transmission, and even geopolitical and cyber-risk dynamics.

Indeed, research has found that upon broad adoption, stablecoins could drive significant changes in banks' funding. Depending on the required reserves, this could translate into either a net drop in retail deposits or a switch from retail into wholesale deposits (as MiCAR requires stablecoin issuers to hold part of the reserves in EU commercial banks). Overall, it could make banks' funding structure more volatile as wholesale deposits are known to be less steady funding sources than retail ones (which are rarely moved across institutions). Also, wholesale deposits are costlier to hold for banks as the regulation imposes higher capital requirements, reflecting their higher volatility and general risk level.

Stablecoins could also have implications in emerging markets through currency substitution. It could amplify depreciation pressures under stress episodes by lowering friction around moving local currency into USD stablecoins. Countries with weak monetary credibility (i.e. high inflation, low interest rates) make stablecoins an attractive store of value and payment means, even outside stress episodes. The outflow to stablecoins could further undermine monetary policy transmission.

USD stablecoins also have the potential to boost demand for short-term US treasuries as issuers look for safe asset reserves. In principle, quick changes in transaction-driven demand could then amplify volatility in rates under a stress scenario. The proliferation of stablecoins (regardless of the currency) may also shift the composition of the overall monetary base with an asset reallocation from bank deposits into treasury/government bonds. This means potentially weaker monetary policy transmission through both the credit and interest rate channels.

While all these points remain theoretical implications of stablecoins, regulators are increasingly concerned and estimates on those impacts are developing. In future reports, we aim to contribute to the growing body of literature on this subject by diving deeper into each of these potential implications, seriously considering a scenario where stablecoins become a broadly adopted payment system.

Stablecoins are growing but the jury is still out on how big they'll get

Over the last few years, the market capitalisation of stablecoins has grown significantly, attracting the attention of both potential issuers and regulators across the globe. However, when it comes to the development of the crypto asset, it remains difficult to estimate an exact path. In our view, the growth of stablecoins in the coming years could be limited or strong depending on their uptake in both payments and as a store of value. Part of this growth to become a “broadly adopted” instrument depends on the existence of a regulatory framework and the interoperability with existing payment systems. The difficulty in estimating stablecoin growth comes from predicting the relative attractiveness versus alternative payment systems (new or old) as the sector quickly evolves.

It's important to consider a scenario where the use of stablecoins increases significantly, as this could have serious implications for financial stability, the banking sector, and emerging markets, as well as monetary policy. Therefore, in our upcoming series of articles, we will dive into potential impacts in more depth, starting with the implications of “broadly adopted” stablecoins for financial institutions.

Regulatory footnotes

The United States' GENIUS Act

Adopted in July 2025, the Guiding and Establishing National Innovation for US Stablecoins Act (GENIUS Act) establishes a regime to regulate US payment stablecoins. Despite the enforcement starting in January 2027, the mere adoption of the GENIUS Act had an immediate effect on USD-denominated stablecoins, with net stablecoin creation growing from about \$10bn in 2Q25 (before the regulation) to over \$45bn in 3Q25, a 324% increase in just a couple of months.

The regulation permits stablecoins to be issued by banks, credit unions and certain non-bank entities (although non-bank issuers are limited to financial firms unless the Stablecoin Certification Review Committee (SCRC) unanimously determines that they do not pose a risk to the banking or financial system).

Issuers face tailored capital, liquidity, and risk management rules but are not subject to the regulatory capital standards for “traditional” banks. Banks issuing stablecoins are regulated by the Federal Reserve, while non-banks fall under the Office of the Comptroller of the Currency (OCC) oversight.

Aside from permitted issuers, the GENIUS Act also clarifies stablecoin requirements. **Issuers must hold at least \$1 of permitted reserves for every \$1 of stablecoins issued.**

Permitted reserves include (but are not limited to) USD cash, deposits held at commercial banks, short-dated treasury bills and other similar government-issued assets approved by regulators.

Additionally, issuers of the digital currency must comply with several transparency and reporting requirements, including regular reporting on the reserve composition, and must run audits by public accounting firms. They are required to disclose the redemption procedures and comply with the US Bank Secrecy Act as well as tailored Anti-Money Laundering and Counter-Terrorism Financing (AML/CTF) rules.

The GENIUS Act also currently prohibits issuers from paying interest to stablecoin holders. However, the topic is open to discussion in the US as the proposed CLARITY Act (which aims to clarify the broader crypto asset regulatory landscape) could include the possibility for stablecoin issuers to distribute customer rewards.

The EU's Markets in Crypto-Assets Regulation (MiCAR)

MiCAR was adopted in 2023 and covers a wide range of crypto assets. The stablecoin rules gradually came into force through the end of 2024. They apply to both issuers and entities offering trading, custody, exchange and advisory on crypto assets. **MiCAR classifies crypto assets in three categories:**

- **Asset-Referenced Tokens (ARTs)**: stablecoins backed by a basket of assets such as fiat currencies or commodities
- **E-Money Tokens (EMTs)**: stablecoins pegged to a single fiat currency
- **Other crypto assets**: including decentralised cryptocurrencies and other tokens (not falling into the first two categories)

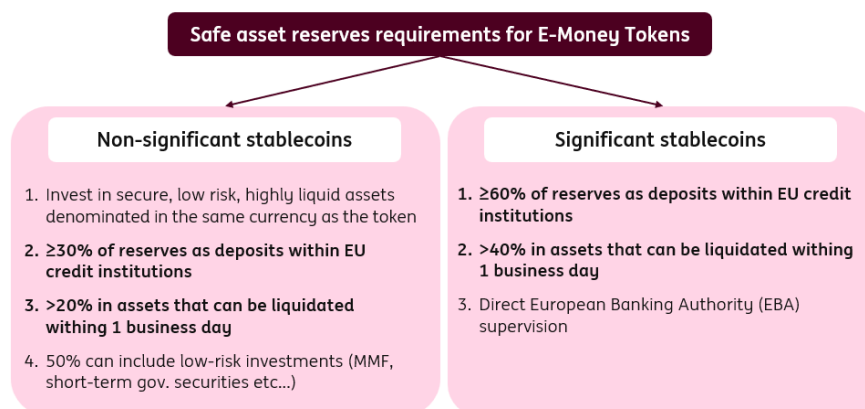
The regulation clarifies which entities are allowed to issue crypto assets in the Union, namely credit institutions and Authorised Electronic Money Institutions (EMIs). In addition, the EU differentiates cryptocurrencies by their size, including specific requirements for the largest assets.

Stablecoins are considered significant when (but not only):

- The **number of holders** is larger than **10m**
- The **value of the token** issued (market capitalisation or size of the reserve of assets) is higher than **€5bn**
- The **average number and transaction value per day** are higher than **2.5m and €0.5bn**, respectively

Under MiCAR, stablecoin issuers are required to have a legal entity established in the EU. The regulation sets out a list of requirements for stablecoins issued in the EU, starting with the prohibition on the distribution of interest on the tokens. It also establishes requirements for stablecoin reserves. For E-Money Tokens (EMTs) specifically, regulatory requirements differ depending on whether the issuer is classified as significant or not. The graph below summarises the safe assets requirements depending on the size of the stablecoin issuer.

MiCAR safe asset requirements per stablecoin issuer type



Source: ING Research, MiCA Regulation

Additionally, all issuers of stablecoins in the EU are subject to transparency and reporting requirements, including the publication of whitepapers on the token's functionality, risk and technology. Issuers must run quarterly stress testing and comply with the Union's AML/CTF

rules.

The UK's upcoming regulation

In June 2026, the Bank of England published a policy statement and draft rules for systemic stablecoin issuers. The BoE's approach to stablecoin regulation varies from existing frameworks as it plans to ban systemic issuers from holding part of their reserves with commercial banks.

The central bank argues that this decision is warranted by the financial, operational, and contagion risks that could arise between stablecoins and the broader financial system during periods of stress. This stance contrasts with the EU stablecoin regulation that requires issuers to hold part of their reserves as commercial bank deposits.

Issuers would therefore be required to hold at least 30% of the reserves in unremunerated BoE deposits and the remaining 70% in short-term UK government debt securities with a residual maturity of up to six months.

The draft rule sets aside the individual holding limit requirement announced previously and instead proposes a temporary issuance guardrail to mitigate risks to credit provision. Each systemic stablecoin issuer will be subject to an initial maximum issuance of £40bn. This limit would be reviewed, loosened and ultimately removed; the BoE doesn't include a timeline for such phasing out. If enforced as such, the UK would be the first country to officially regulate the amount of stablecoins issued, even on a temporary basis.

The proposal plans to require systemic stablecoin issuers to conduct an overall risk assessment to identify, monitor and mitigate risks. Additionally, it sets minimum capital requirements composed of six months of the issuer's relevant operating expenses or the cost of executing its recovery plan. It also requires notifying the central bank when its capital falls below 110% of the minimum requirements.

The Bank of England plans to install a statutory trust mechanism comprising two trusts: one to protect coinholders' interests and the other to cover the costs of returning value to them. Stablecoin issuers will thus be required to segregate the assets used for reserves and appoint third-party custodians to hold these. The proposal also includes a prohibition on the payment of interest and income to coinholders.

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Article | 19 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil rises amid US-Iran conflict

Oil prices rose for a fourth consecutive session on Wednesday, supported by ongoing uncertainty surrounding the US-Iran standoff and the potential implications for shipping through the Strait of Hormuz



Energy - Oil inventory draws support prices

Oil prices extended gains for a fourth consecutive session on Wednesday as uncertainty over a resolution to the US-Iran conflict continued to support risk premiums. US President Donald Trump reiterated that no talks were underway with Tehran and signalled that additional sanctions could be announced this week. Reports of reduced vessel traffic through the Strait of Hormuz have also raised concerns over potential oil supply disruptions.

The oil market also drew support from a slightly bullish API inventory report. US crude inventories fell by 328k barrels last week, compared with market expectations for a 74k-barrel draw. Stocks at the WTI delivery hub in Cushing declined by 1.4m barrels. Product inventories were mixed, with gasoline stocks rising by 1.1m barrels while distillate inventories fell by 2.8m barrels. The more closely watched EIA inventory report is due later today.

US diesel crack spreads climbed above \$100/bbl yesterday, reaching a record high as global refining constraints and supply disruptions tightened the market. Diesel cracks have more than

doubled since the start of the US-Iran conflict and are up more than 20% month-to-date. Export restrictions from Russia, following repeated Ukrainian drone attacks on refineries, have reduced diesel availability, while disruptions affecting energy infrastructure elsewhere have added to concerns over supply and helped support prices.

Metals – Copper retreats as LME stocks jump

LME copper prices fell below \$14,000/t yesterday, posting their sharpest decline since 23 July, as fresh deliveries into LME warehouses eased a prolonged supply squeeze. On-warrant copper inventories rose by 20,025 tonnes, the largest daily increase since 7 April, extending gains for a sixth consecutive session to 123,100 tonnes. Most of the inflows were directed to warehouses in Asia and the US.

The increase in stocks helped alleviate tightness after inventories had been depleted by strong shipments to the US, driven by tariff-related arbitrage opportunities. Reflecting the improved supply situation, the LME cash/3M copper spread narrowed to \$248/t, while the tom-next spread also retreated after recently reaching levels last seen during the 2021 copper squeeze.

The latest COTR data showed speculators cut net long copper positions by 6,340 lots to 53,914 lots, ending a two-week streak of increases despite higher copper prices. In aluminium, money managers reduced net longs by 2,267 lots to 78,492 lots, largely driven by a 22,874-lot increase in gross short positions. Zinc net longs also declined, falling by 7,602 lots to 37,759 lots as of last Friday.

Agriculture – Sugar climbs on mounting supply concerns

Sugar prices extended their rally for a second consecutive session yesterday, with ICE No.11 raw sugar settling nearly 3.6% higher at its strongest level since May 2025. Gains were driven by reports that India is considering reducing or scrapping its 100% import duty to help replenish domestic supplies ahead of a seasonal increase in demand.

Sugar prices are now up more than 16% this month, supported by tightening global supplies. Meanwhile, speculative net long positions rose to 58,990 lots, the most bullish positioning since April 2025. Additional support has come from weather risks, with El Niño threatening sugar production across Asia, while above-average rainfall in Brazil has disrupted sugarcane processing, further tightening supply expectations.

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Article | 19 August 2026

FX

FX Daily: The won also rises

FX markets remain calm despite energy prices nudging higher and some weakness in semiconductor stocks. Expect further consolidation ahead of tonight's release of the July FOMC meeting minutes. Elsewhere, this quarter's turnaround in the Korean won continues – a testament to the benefits of domestic growth and some structural measures



The Korean won's recovery continues, helped by the domestic growth story

➔ USD: Waiting on the minutes

The unresolved conflict in the Middle East is keeping energy prices bid and partially contributing to the rise in long-end yields. Longer-dated US Treasuries actually found a little demand on yields above 5.30% yesterday, but risks still look skewed to the upside here. Please see the latest update from the ING Rates team [here](#). Higher rates have taken a little steam out of the growth stocks, but a 5% drop in the Philadelphia Semiconductor index yesterday looks small beer in comparison to daily swings seen so far this year. As yet, we see no grounds for a fundamental shift in the low volatility environment which favours the carry trade.

For today, the focus will be on tonight's release of the FOMC minutes for the July meeting. Recall that the vote was 9-3 for unchanged rates and the event proved a dovish one for the short end of the US curve and the dollar, while the long end sold off. The suspicion is that the 12-member FOMC is less hawkish than the participants whose projections delivered forecasts of a 9:9 split for a hike in the June set of Dot Plots. So while there may be a few hawkish

references in tonight's minutes that could nudge the dollar and short-dated rates a little firmer, we do not see the minutes as a game changer. Instead, another batch of CPI and jobs data, plus the end-of-month Jackson Hole symposium, will have a bigger say in whether the Federal Reserve hikes in September. Our base case is that it does not, and the dollar softens a little.

Expect more narrow range trading in DXY – perhaps in a 99.40-99.80 range. One-day FX option straddles in USD/JPY price just a 28 USD pip range for the next 24 hours.

Chris Turner

➔ **EUR: Natural gas prices inch higher**

European natural gas prices are now inching up towards their highs of the year. This is bad news for Europe and leaves manufacturers at a comparative disadvantage relative to the US. High energy prices also maintain the hawkish undercurrent at the European Central Bank, where Chief Economist Philip Lane yesterday warned of eurozone inflation staying at 3.0% all year and perhaps staying high next year as well, on the El Niño weather event driving food inflation globally.

For today's session, we see the final release of July eurozone CPI – expected at 2.9% – and June current account data. That data includes portfolio flows, which recently have been [showing sustained foreign interest](#) in eurozone debt and equity securities.

Event risk from the FOMC minutes and higher natural gas prices warn against chasing EUR/USD above 1.1600/1620 today.

Chris Turner

➔ **GBP: July CPI can keep BoE hawks in check**

EUR/GBP has barely budged on today's release of the UK July CPI data. The rise in headline inflation was widely expected, though food inflation – which the Bank of England tracks closely – remains quite benign. ING's UK economist, James Smith, notes that the BoE's core services measure of inflation has picked up a little to 3.8% year-on-year, but probably not enough to trouble the Bank.

Our call is that the BoE does not need to hike again, but that the realisation of that may not weigh on sterling until later in the year. In a low volatility environment, sterling is probably still enjoying some carry demand given it is one of the highest, volatility-adjusted currencies in G10. EUR/GBP can probably hang around these 0.8550 levels for the time being.

Chris Turner

➔ **KRW: Domestic growth has been a big driver**

For much of this year, Korea has struggled with massive portfolio outflows and a weaker Korean won, which sent USD/KRW as high as 1560 in June. Those portfolio flows were stemming from foreign selling of Korean equities (\$100bn sold year-to-date) and domestic residents putting money offshore. Korea's huge current account surplus on the back of the semiconductor boom did not seem to matter. Korean authorities have tried various measures to support the won, including changing the FX hedging strategy for Korea's huge National Pension Service (NPS) and also allowing the NPS to access FX liquidity through a swap line with the Bank of Korea rather than in the open market.

Yet the turnaround in the won, with USD/KRW now trading under 1400, looks to have been driven by the Korean growth story. The AI investment and export boom has filtered into broader parts of the economy and delivered another strong 2Q GDP print of 0.6% quarter-on-quarter – helping the Bank of Korea to hike 25bp to 2.75% in July. It now seems exporters have greater confidence to repatriate more of their foreign earnings, where the current account surplus can run as high as \$50bn on a monthly basis. Hynix issuing a \$20bn American Depositary Receipt and bringing that money home has been helpful too.

The turnaround in the won is a reminder of the need for an attractive investment environment at home. We highlight a recent BoK research paper on the subject in a [recent opinion piece](#). It is not clear that USD/KRW needs to go a lot lower than 1400 just yet. After all, foreigners still seem to be selling Korean equities. But the turnaround in Korea may be a useful lesson for Japanese authorities. Creating an attractive domestic investment environment at home – both through growth and higher interest rates – is an effective route to strengthen the domestic currency.

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Article | 18 August 2026

RATES SPARK

Rates Spark: What the... is going on?

Lots of supposition out there on the drivers of higher long-end yields. A chunk of it is simply a move to a tad above normal. Higher US real rates is the engine. Getting to normal rates is a minimum ask (hope the BoJ is attentive). Eurozone rates suffer to boot on added energy and climate-related inflation concerns, as well as resuming issuance concessions



Even with the rise in real yields, we are only a little above what we consider 'normal' rates

It's all about US real yields, for the long end in particular

We could tell a long story with numerous angles, but there is one theme that cuts through the lot – the elevation in US real yields. That's what's going on. In the past six months, practically 100% of the rise in US 10yr nominal yield has come from a rise in the real yield.

Drivers? Is AI-induced long-duration issuance pressure the latest narrative? In part, yes, agreed. It's up 10-fold relative to only a couple of years back. But we're not sold that this is *the* explainer. Heavy corporate issuance is typically not a problem if there is strong demand, and there is strong demand. Credit spreads remain contained to boot. It's only a part of the narrative, and nowhere near the largest part.

There is absolutely the issue of higher issuance generally, globally, reflecting higher fiscal deficits right across developed markets. We'd argue that this is a bigger issue than the aforementioned AI issuance spree. Fiscal deficits are not contained, and the longer they

remain un-anchored, the more persistent is the anticipation for more issuance into the medium term. It's an issue that has been with us for years now, and so not new. But absolutely relevant, as it's persistent and not going away any time soon.

But we should not forget that a lot of the move is real yields simply getting back to more 'normal' levels. Before the Iran war, the 10yr real yield was 1.7% (low versus before the great financial crisis). It's now 2.4%, which is actually close to normal (a 2+% handle would be normal). That, in fact, is the biggest explanatory piece.

[We've long argued that 4.5% is 'normal' for the US 10yr yield.](#) And for the eurozone, that translates to 3% for the 10yr. We're now running at some 20bp above these normal valuations. That 20bp can be explained by issuance pressure (bad) / productivity expectations (good). The latter refers to the AI productivity revolution, which has a direct theoretical link to the real yield – another important piece.

And what about the Iran war effect? Simple optics suggest the 10yr yield rose as the Iran war kicked off, the oil price spiked and inflation rose. However, despite this, inflation expectations (break-even inflation) are contained (10yr inflation break-even at 2.25% in the US and the eurozone is absolutely fine if a moderate inflation risk premium of 25bp is included i.e. implies inflation of around 2%). So, interestingly, the rise in long yields is actually not down to higher inflation expectations, as they remain contained. Quite the juxtaposition.

That aforementioned 20bp extension above normal can extend towards 50bp (US 10yr @ 5% and Eurozone 10yr @ 3.5%). But only at the extreme, and likely only temporarily. Sustained breaks above that would risk some crisis thinking, which would ultimately prove self-correcting. In fact, averaging in the region of here is very probably a decent medium-term strategy once we get past the negative market-to-market risk on longs still probable over the immediate few months.

And for the eurozone – a lot of near-term negatives

The German 10y yield climbed above 3.25% on Tuesday, thus clearly breaking above the peak levels over this crisis thus far. It is hard to pin down one particular driver. Rather, we are dealing with a confluence of factors that has led to the latest elevation in rates.

In the eurozone, the backdrop is the European Central Bank, which looks set to hike rates again in September. In addition, there are dwindling prospects of finding a solution to the conflict in the Middle East. But more specifically in Europe, perhaps, it is that markets have been somewhat more sensitive to the concurrent elevation in gas prices, given also the lagging efforts to replenish storage into the upcoming heating season. Add to that the drought-related supply chain issues, but also ECB Chief Economist Lane is already pointing out climate-related food inflation over *next* summer. Relative to its US peers, EUR rates are facing more pressures in terms of inflation risk premia and expectations, and this has now put more upward pressure

on the front end out to the belly. But also the long end is not spared. Keep in mind that the EUR issuance is also seeing a comeback following the summer break. That included an early syndicated 30y Bund tap.

The list of near-term positives for rates? Other than high absolute yield levels now, they are hard to make. But the higher rates are feeding back into some equity softness, which might take some steam out of the upside dynamic. But looking at the overall tally for EUR rates, it might explain why e.g. 10y Bund yields failed to follow 10y US Treasury yields lower when they found relief after coming close to the 4.75% mark.

Wednesday's events and market view

Following the UK's CPI data, the only notable events over the course of the European session are ECB President Lagarde's appearances at the IBC meeting, including a panel session on the 'global economic outlook'. The eurozone will also release final inflation data for July.

Only later will we also get the July FOMC minutes, likely to be closely followed given the muddled messaging from new Fed Chair Kevin Warsh at the last press conference.

In the primary market, Finland has mandated banks for a new 7y benchmark. Germany will auction €6bn in 10y Bunds and the US Treasury will later auction a new 20y bond for US\$16bn.

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Article | 18 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil extends gains on supply concerns

Oil prices remained supported by rising geopolitical risks and supply concerns



Brent's rally has continued to extend

Energy - Brent extends rally above \$91/bbl

Oil prices extended gains for a third consecutive session, with ICE Brent trading above \$91/bbl. Sentiment remained supported by US President Donald Trump's decision not to extend the US-Iran peace agreement and continued security concerns in the Strait of Hormuz, raising fears of supply disruptions.

Saudi Arabia is reportedly offering crude cargoes from locations off the coast of Oman, signalling efforts to expand export routes outside the Persian Gulf. Saudi Aramco is marketing Arab Medium and Arab Heavy grades via ship-to-ship transfers from terminals including Sohar.

Chinese refinery throughput fell 15.8% year-on-year to 12.5m b/d in July, highlighting weak refining activity. Apparent oil demand also declined 17.5% YoY to 12.04m b/d amid softer industrial activity, weak refining margins and growing EV adoption.

US natural gas prices fell 3.5%, pressured by rising production, cooler weather forecasts and comfortable storage levels. Inventories stood at 3.15Tcf as of 7 August, 6.7% above the five-

year average.

Middle distillates strengthened further, with the ICE gasoil crack nearing \$76/t. Support came from reports of Ukrainian attacks on Russia's Ust-Luga processing facility and ongoing Russian diesel export restrictions. Reflecting tighter market expectations, speculative net-long positions rose for a sixth consecutive week to their highest level since February.

Metals – Gold extends rally; copper squeeze deepens

Gold extended its recent advance, with prices holding above \$4,400/oz after rebounding sharply from July lows near \$3,900/oz. The move has been supported by a weaker US dollar and growing market conviction that the Federal Reserve is close to the end of its tightening cycle, reducing the headwind from higher interest rates. Ongoing geopolitical tensions in the Middle East have also continued to underpin investor demand. Markets will look to the release of the Fed's latest meeting minutes for further direction, while developments in the Middle East remain a key upside risk for prices.

In base metals, copper prices pushed higher, with three-month LME copper trading above \$14,000/t and approaching the record highs reached earlier this year. The rally continues to be driven by tightening nearby market conditions. The LME copper tom-next spread surged to a premium of \$75/t yesterday, marking the widest spread since January, as a growing supply squeeze intensified ahead of potential import tariffs. Meanwhile, the cash/3m copper spread traded at a premium of \$545/t yesterday, highlighting tightness in spot supplies.

Ongoing shipments to the US ahead of a potential refined copper import tariff, combined with Chinese buying, have reduced available inventories in the LME warehouse network and tightened prompt supply. While LME stocks saw a modest increase recently, inventories remain near multi-month lows and physical market indicators continue to point to limited metal availability. Near-term supply tightness is likely to keep the market well supported, particularly if demand linked to electrification, data centre expansion and grid investment remains resilient.

Meanwhile, Chinese primary aluminium production rose 3.8% YoY to 3.9mt in July, supported by healthy smelter margins. Output reached 27.2mt over January-July, up 3.8% YoY. In contrast, crude steel production fell 3.6% YoY to 76.9mt, the lowest level since December 2025, as weaker demand continued to weigh on the sector.

Chinese imports of unwrought aluminium and aluminium products fell 22% YoY to 280kt in July, while steel imports declined 2.1% YoY to 440kt. Alumina exports increased 33% YoY to 300kt, with year-to-date shipments up 21.7%, highlighting strong overseas demand.

Agriculture – Coffee backwardation hits record on supply tightness

The September-December coffee spread widened to a record US\$27/lb backwardation for 2026 contracts as traders rushed to cover short positions ahead of September expiry. Tight nearby supplies continue to support the market, with harvest delays in Brazil slowing bean deliveries and pushing exchange inventories to their lowest level since 2023. In Colombia, a deadly earthquake has added to logistical disruptions following earlier weather-related damage. While Brazil is expected to harvest a large crop in 2026/27, near-term supply remains constrained.

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Article | 18 August 2026

FX

FX Daily: Energy and long bonds remain points of attention

In an otherwise reasonably benign environment, the drift higher in energy prices and longer-dated bond yields are proving points of attention. Both are mildly dollar-supportive in that they make it difficult to completely dismiss the chances of tighter Fed policy. Having bounced back from range lows yesterday, the dollar can hold gains in the near term



Higher energy prices and long bond yields are providing the dollar with some support

➔ USD: Too soon to be chasing the dollar lower

The DXY dollar index rebounded from the range lows at 99.40 yesterday, showing that the dollar is not quite ready to make a sustained break lower just yet. The two factors providing near-term support are higher energy prices and rising 30-year Treasury yields. Both of these, should they extend, could put a September hike from the Federal Reserve back on the agenda. On the former, news that Washington seemingly has little interest in extending the 60-day ceasefire with Iran has seen oil and gas prices creep higher again. In which direction the next big leg for energy prices emerges is anyone's guess. But higher energy is a dollar positive – both through US energy independence and the Fed's reaction function.

Regarding long-end yields, ING's Rates Strategy team discusses the market [here](#). The fact that 30-year US Treasury swap spreads have not widened suggests that it isn't fiscal concerns driving the move. More compelling is the heavy investment-grade issuance from the US hyper-

scalers. Here, US IG issuance has just hit a new record for August at \$145bn. A big sell-off in the long-end of the Treasury market is typically bad news for emerging market currencies and risk in general. We are not quite at that point yet, but a further rise in yields may increase the pressure on the Fed to act, and this week has seen the pricing of a September Fed hike rise to 9bp from 7bp.

Today's US focus is on July PPI, weekly ADP jobs data, industrial production and housing data. PPI data is probably the most important of this second-tier data, where any upside surprise could lift short-dated US rates and the dollar.

Expect DXY to remain more supported in a 99.40-100.00 trading range.

Chris Turner

➔ **EUR: Contained**

Yesterday's EUR/USD rally stalled shortly above 1.16, and investors will be reluctant to push it much higher given energy price developments and ahead of the FOMC minutes tomorrow night. Despite recent positive economic surprises in the eurozone, the fact that natural gas prices are close to their highs for the year merits some caution.

On the calendar today should be some mildly encouraging ZEW investor survey expectations and a speech by ECB Chief Economist Philip Lane. Higher energy prices are firming up expectations of a 25bp hike from the European Central Bank in September and keeping views alive of another 25bp hike by early next year.

We could see EUR/USD trade out a 1.1520-1.1580 range today. And a reminder that we have a forecast for 1.17 by the end of September on the view that the Fed does not hike and [1.18 for year-end](#).

Chris Turner

⬇ **GBP: A little softer on the jobs data**

EUR/GBP has opened up a little firmer on the release of the latest jobs data. Here is what ING's UK economist, James Smith, has to say on the data:

Nothing particularly earth-shattering in the latest UK jobs figures. Payrolled employment is down a touch – though this masks big differences between government (which is still actively hiring), consumer services (where job numbers are

consistently falling and the pace of decline is getting worse) and the remaining private sector, which is flatlining. The unemployment rate is up a touch, though the ONS has already revealed there are temporary sampling issues with the labour force survey underpinning it (on top of the well-publicised existing problems), so I'd take that data with a pinch of salt. Private sector pay growth remains below 3%, though the latest month's data was a touch hotter. This is probably the floor for wage growth – and it is actually a touch higher than 3% when you strip out some quirks in the data. Still, the basic story is the same – the jobs market remains cool, and wage pressures are fairly minimal. It suggests little impetus for the Bank of England to hike rates this year.

The sterling money market curve still prices 60bp of Bank of England hikes into next year. That should slowly be priced out over the next three to six months, although energy prices will have a big say on timing. Next on the UK agenda this week will be tomorrow's July CPI, where a lower year-on-year services number would again slightly favour the position of the BoE doves.

EUR/GBP looks biased to the 0.8570/80 area.

Chris Turner

↓ **CHF: Everyone's new funding friend**

Low volatility is continuing to weigh on key funding currencies such as the Japanese yen and the Swiss franc. While the yen may be preferred as a funding currency because of its deeper liquidity pools, we think investors will increasingly turn to franc funding – not only for cheaper borrowing costs but also to avoid the risk of sudden yen buying intervention from Tokyo and Washington. And if investors do believe intervention is going to be effective, short CHF/JPY positions will become increasingly popular. This is not only because short CHF/JPY is one of the few ways to express a carry-positive yen view, but because the two currencies have similar investment characteristics.

As to EUR/CHF, a break towards 0.95 probably requires higher oil prices and higher interest rates across the board, where the Swiss National Bank's anchored zero rate policy leads to

franc underperformance.

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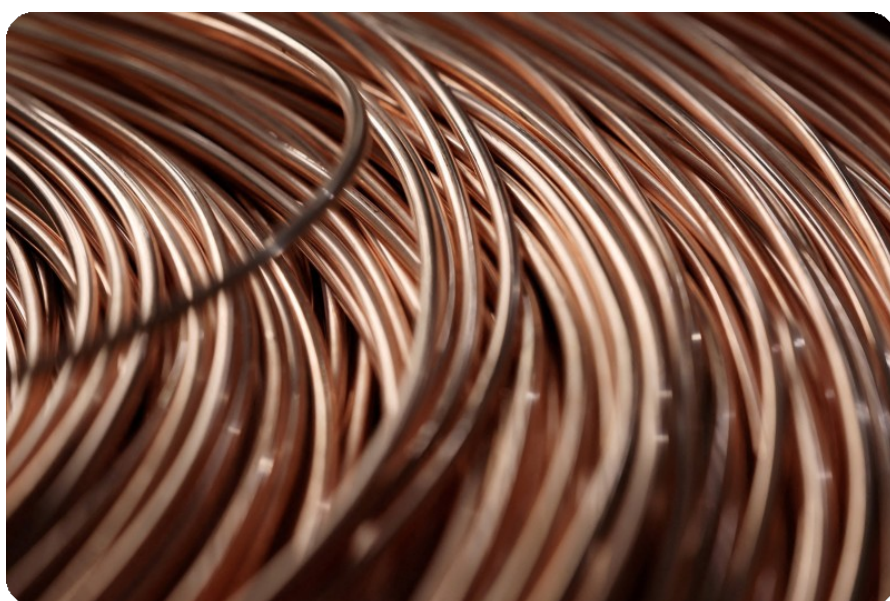
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Article | 7 August 2026

COMMODITIES, FOOD & AGRI

Could copper lose its tariff premium?

Copper has rallied sharply on expectations of US import tariffs, as traders rush metal into the US and physical markets tighten. With prices back near record highs, any policy disappointment could put that tariff premium to the test



Monthly US copper imports surged to a 12-year high of more than 200,000 tonnes in July ahead of potential tariffs

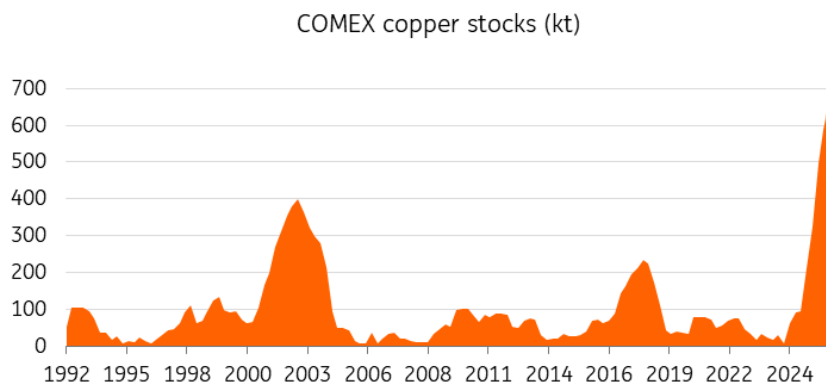
Copper is trading above \$14,000/t, close to its record high. At the same time, LME inventories have fallen further, and the cash-to-three-month spread has moved deeper into backwardation, highlighting increasingly tight physical market conditions.

In our June note, [What's next for US copper import tariffs?](#), we examined the possible policy outcomes. Since then, traders have continued to position for potential tariffs, with the impact becoming increasingly visible in trade flows, inventories and physical market indicators.

Tariff expectations remain a key market driver

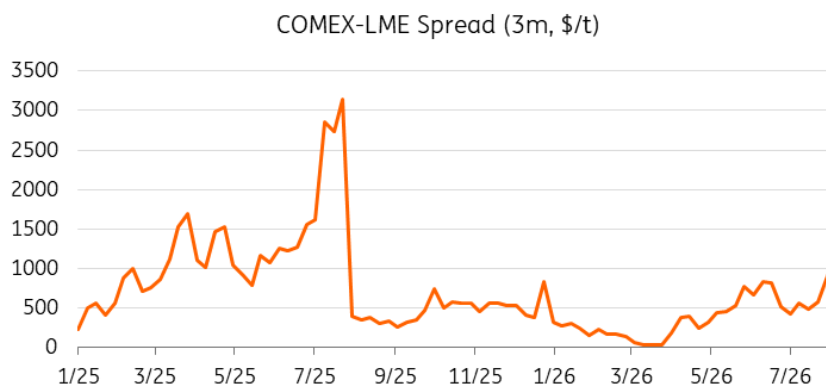
Copper shipments into the US have accelerated ahead of a potential tariff decision, pushing COMEX inventories to a record high. US copper imports exceeded 200,000 tonnes in July alone – the highest monthly level in at least 12 years.

COMEX inventories reach record highs



Source: COMEX, ING Research

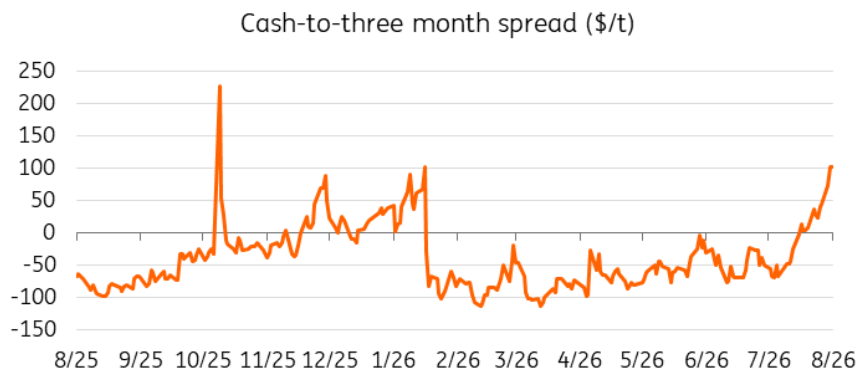
Wide COMEX-LME spread continues to attract copper into the US



Source: COMEX, LME, ING Research

At the same time, the London copper market is showing increasing signs of tightness. LME inventories have fallen to a five-month low, while the cash-to-three-month spread has widened to around \$120/t backwardation – up from about \$40 a week ago and the widest since October, pointing to a squeeze on short-term supplies.

Nearby copper market tightens



Source: LME, ING Research

LME inventories continue to decline



Source: LME, ING Research

Can tariff expectations continue to drive prices?

The recent rally is not solely tariff-driven, however.

Mine supply growth remains constrained, while low treatment charges continue to point to tight concentrate availability. Demand linked to electrification, power grid investment and AI infrastructure also remains supportive. We continue to expect the global refined copper market to record a deficit of around 35k tonnes in 2026.

Much of the recent rally reflects expectations that tariffs will be implemented broadly as expected. But if the final measures are delayed, narrower than expected or exempt refined copper, part of the recent rally could unwind. Stockpiling into the US would slow, inventory flows would begin to normalise, and some of the current tightness outside the US would ease. Any correction could be amplified if investors unwind positions built on tariff expectations.

The tariff decision is only part of the story

The prospect of US tariffs has already reshaped the copper market. Inventory flows have shifted, physical conditions have tightened, and prices have moved back towards record highs.

Much of that repricing has already happened. Once the tariff decision is announced, the market's focus is likely to shift back to underlying fundamentals.

That would not necessarily change the broader outlook for copper. Any correction would be more likely to reflect a reassessment of tariff expectations than a deterioration in the underlying fundamentals.

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Article | 5 August 2026

SUSTAINABILITY

Global sustainable finance 2026: growth on the horizon

Resilient issuance keeps the global sustainable debt market on track for growth in 2026, despite geopolitical uncertainty, policy shifts and pockets of saturation. But the ingredients to the '[sustainable debt cocktail](#)' are still changing, with some products and regions seeing stronger momentum



We expect the global sustainable debt market to grow in 2026 but we see divergences among regions and products

Growth set to return despite regional divergence

At the halfway mark of the year, we still [expect](#) the global sustainable finance market to return to growth for the full year, surpassing 2025 levels after a modest decline in 2025 from 2024.

Global sustainable debt issuance (excluding asset-backed securities, or ABS) totalled \$846bn in the first half of 2026. Although this is a bit lower than the first-half issuances in 2025, it remains comfortably within the healthy \$800bn-900bn range recorded in the first halves since 2022. That shows considerable market resilience, especially given the ongoing Middle East tensions and subdued sustainability policy environment in the US.

Looking at the full year of 2026, we expect resilience to yield growth, with the global sustainable finance market reaching \$1,621bn of issuance. This will be driven by many factors:

- Middle East tensions make a stronger case for enhanced energy security, affordability,

and industrial competitiveness in Europe through clean energy buildout.

- The rush to build AI-driven data centres – and the growing scrutiny of their sustainability – is expected to drive sustainable debt issuance in the sector globally.
- The consequent need to enhance digital and power infrastructure to support AI development and electrification will spur sustainable financing.
- Many corporates remain committed to decarbonisation and managing climate risk.
- Governments are further leveraging sustainable finance as a tool to fund decarbonisation efforts.
- Regulation and standardisation provide clarity and ease.

Global sustainable debt issuance, historical and forecast

\$bn

	Bonds					Loans					Total
	Green	Sustaina-bility	Social	Sust-linked	Transition	Green	Sustaina-bility	Social	Sust-linked	Transition	
2020	290.4	181.3	155.1	10.9	2.3	93.2	0.0	0.2	143.0	0.3	876.7
2021	601.6	249.3	237.2	109.2	3.8	117.8	4.7	0.1	530.1	0.1	1,853.8
2022	553.0	193.3	154.7	88.0	3.3	138.9	6.2	7.3	474.6	0.5	1,619.8
2023	611.7	202.5	155.9	70.0	2.8	164.6	12.4	4.4	244.4	0.6	1,469.3
2024	648.3	256.3	170.2	39.1	20.9	216.6	9.2	9.3	295.9	2.0	1,667.8
2025	669.2	271.5	138.6	33.3	11.7	247.8	19.4	8.5	139.5	0.0	1,539.4
2026F	700.0	290.0	150.0	25.0	15.0	255.0	15.0	9.0	160.0	2.0	1,621.0

Source: ING Research, Bloomberg New Energy Finance (BloombergNEF). Note: Issuance data excludes asset-backed securities (ABS).

We stand by these forecasts for the year, as we already see most segments beyond the halfway point in terms of reaching these targets. The public market side, in particular, has 55-60% of the forecast already issued.

While the private market side appears to be lagging, we note that there may be some under-reporting within the private market side, and these figures may not reflect full issuance levels.

Global sustainable issuance in the first half of 2026 as a % of full-year forecast

\$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Nevertheless, as noted in our [market outlook](#) in February, our expectations continue to vary across regions.

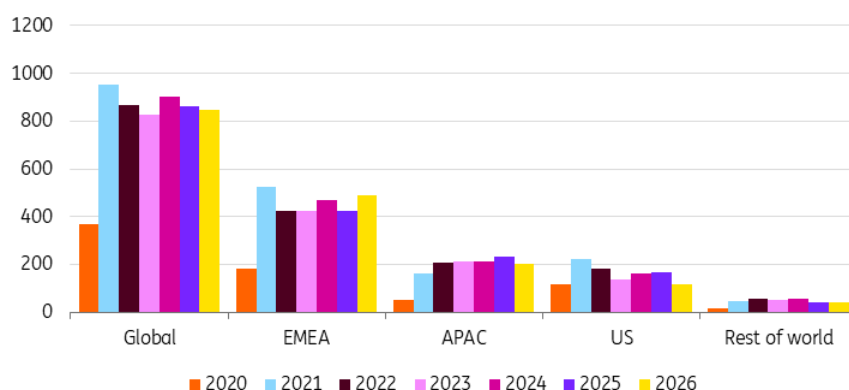
EMEA is leading sustainable debt issuance in 2026. Issuance in both the first and second quarters exceeded 2025 levels, driving a strong first half of the year. Much of this growth came from the public sector, with government agencies, sovereigns, and supranationals issuing a record \$245bn in the first half – 50% higher than in 2025. Financial institutions also contributed to the momentum, increasing issuance by 36% year-over-year (YoY).

In **APAC**, issuance levels have been mostly steady over the past five years, despite first-half 2026 volumes being slightly lower than in 2025. That small dip is mainly due to softer issuance from financial institutions following a record first half in 2025. Even so, APAC is well positioned for growth, with both governments and companies continuing to advance decarbonisation goals through sustainable financing.

In the **US**, policy uncertainty continues to weigh on sustainable financing. First-half 2026 issuance was about 40% lower than in both 2024 and 2025, although it remained slightly above 2020 levels. Data centres, renewable energy, and related infrastructure have emerged as the engine of sustainable financing. We expect these sectors to maintain momentum through 2026 and 2027. For data centres, however, growing scrutiny of community impacts could lead to more selective, but ultimately higher-quality, sustainable debt issuance.

Sustainable debt issuance by region in the first half of each year

\$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

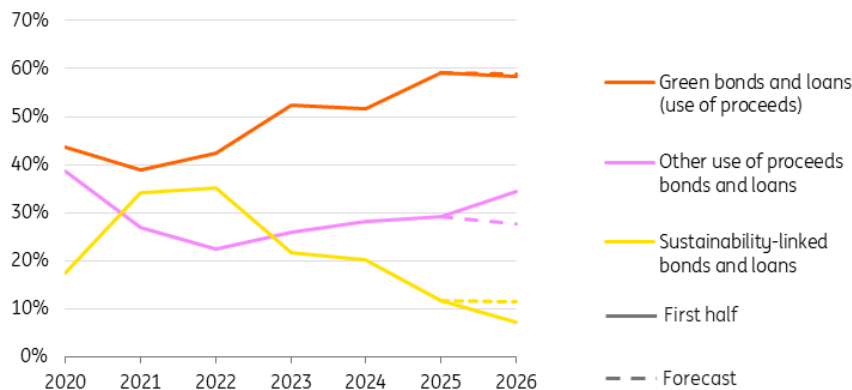
Green bonds and loans are still king

By product type, we expect green bonds and green loans to remain dominant in the global sustainable debt market, together accounting for around 60% of total issuance this year, up from 50% in 2024 and 40% in 2021. This reflects growing market preference for green use-of-proceeds instruments as credible tools for financing environmental projects.

Beyond green instruments, some other use-of-proceeds products, namely social bonds and sustainability bonds, also saw higher first-half issuances YoY, despite accounting for a much smaller market share.

Sustainability-linked bond and loan issuance remained under pressure in the first half of 2026, declining 54% YoY to just over \$60bn. Their market share has fallen from 35% in 2022 to just over 10% in 2025, as issuers with green investment plans increasingly opt for green instruments. However, as noted in our previous outlook, sustainability-linked loan volumes are likely understated, as some private transactions may not be captured in sustainable debt databases. Despite accounting for only 7% of issuance in the first half of 2026, we expect the share of sustainability-linked debt to stabilise above 10% for the year.

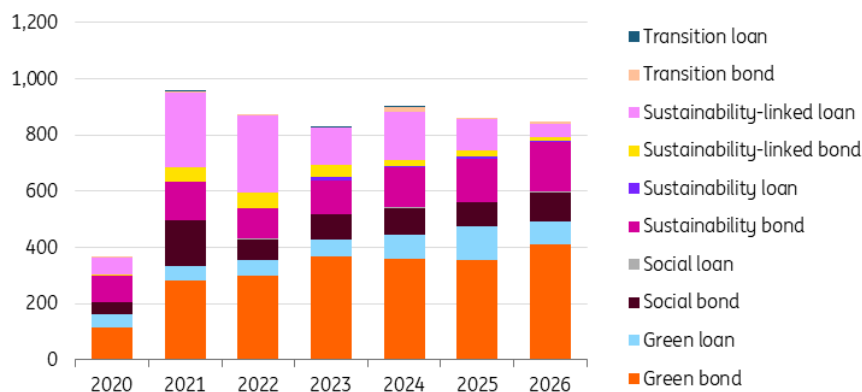
Share of sustainable debt products in total global issuance



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Global sustainable debt issuance by product in the first half of each year

\$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

Corporates to remain soft as public issuances pick up

Issuances from non-financial corporates have continued to weaken in 2026. First-half issuance totalled \$250bn, the lowest level since 2021. The slowdown was driven largely by weaker-than-expected issuance from European corporates, alongside an anticipated decline in the US amid policy uncertainty.

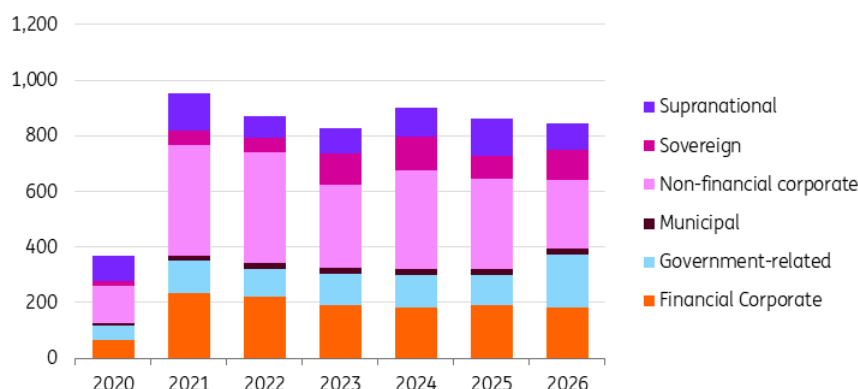
In Europe, the weakness may reflect a slightly saturated sustainable debt market, mixed with an environment of ease of issuance in general and a lack of economic benefit for going green (i.e. no 'greenium' at this time). This is temporary, as, historically in times of higher volatility within markets, it's the sustainable bond products that outperform and hold firmer. Naturally,

standardisation will continue to keep sustainable issuance effort-free, and the likes of the Green Bond Standard, while not intended to be adopted by all issuers, continue to drive high-quality issuance.

In contrast, issuances from government agencies rose 73% YoY in the first half of 2026. The biggest contributor to that increase is a record \$58bn of issuance from German state-owned investment and development bank KfW, with its second-highest first-half issuance being \$25bn. The bank has an ambition of investing in competitiveness through environmental action. In APAC, governments in Australia and Mainland China also saw issuance increases.

Global sustainable debt issuance by issuer type in the first half of each year

\$bn



Source: ING Research, BloombergNEF. Note: Issuance data excludes ABS.

For the rest of 2026, we expect the public sector to be the primary driver of global sustainable debt issuance. Corporate issuance is likely to remain soft and end the year below 2025 levels. However, corporates still have significant sustainable financing needs, as strategic segments such as AI data centres, digitalisation, innovation, and critical infrastructure will increasingly demand energy efficiency and decarbonisation.

There would also be growing regulatory and stakeholder focus on data centre sustainability. The EU is mandating energy reporting and green financing rules for data centres, while actively developing performance standards and efficiency labels. In the US, growing scrutiny of data centres' environmental footprint could lead to a more disciplined approach to sustainable finance.

Conclusion

We expect global sustainable debt issuance to stay relatively strong throughout 2026,

supporting our forecast for a return to market growth this year. However, regional, product and issuer dynamics continue to diverge. The sustainable debt cocktail is poised to get bigger, but its ingredients are still evolving.

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Article | 4 August 2026

TMT

Webinar: The AI race – who will fund and fuel the next wave?

AI is becoming one of the biggest investment, infrastructure and energy stories of our time. Join us to explore how the AI boom is being financed, what investors are watching, and whether power systems can keep pace with soaring demand. [Sign up here](#)



AI is no longer just a technology story. As investment and power needs surge, it has become a capital markets, infrastructure and energy story, too. The race to build AI capabilities is driving unprecedented spending on data centres, compute capacity and power infrastructure. This raises important questions for investors, policymakers and industry leaders.

In this webinar, we will explore how AI expansion is being financed, how investors are assessing the opportunity, and how energy systems can keep pace with growing demand.

You'll learn:

- Why accelerating data centre investment can remain sustainable
- What investors are watching across the largest technology companies
- How AI is reshaping capital markets and financing needs
- How data centres are transforming energy systems and local economies
- How power infrastructure can keep pace — and at what cost

[Click here to sign up](#)

Details

Date: Thursday 13 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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